THE PRESIDENT'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
LONGIDO DISTRICT

FORM ONE ANNUAL EXAMINATION
065 BUSINESS STUDIES
MARKING SCHEME 2025

SECTION A (15 MARKS)

1.

i	ii	iii	iv	v	vi	vii	viii	ix	x
C	B	B	A	D	B	C	B	A	C

10 ticks @ 01 marks

2.

COLUMN A	i	ii	iii	iv	v
COLUMN B	G	F	E	A	D

05 ticks @ 01 mark

SECTION B (70 MARKS)

3. **POTENTIAL SKILLS TO AN ENTREPRENEUR**

i. Business management skills i.e. financial management skills, sales and marketing skills, negotiation skills and decision-making skills
ii. Leadership skills i.e Assertiveness skills
iii. Intrapersonal and interpersonal skills i.e Networking skills and communication skills
iv. Initiative skills i.e coming up with a new and unique idea or product
v. Technical skills i.e Ability to use tools and equipments to perfom various tasks

Any 05 points @ 02 marks

4. **SHORT NOTES ON THE FOLLOWING TERMS**

i. **Creativity**: Is an ability to produce new and unique idea. An entrepreneur need to be creative for the survival of the business due to presence of high competition
ii. **Innovativeness**: Is the ability of coming up with a new or improved product, technology, way of production or distribution.
iii. **Invention**: Is the ability of coming up with a new product or technology that has never existed before. Eg An Invention of cell phone for the first time.

iv. **Curiosity:** Is the desire to know or learn through investigation and inquiry. Curiosity is crucial to an entrepreneurial success because it enable an entrepreneur to learn from mistakes.

v. **Perseverance:** Is the persistence in doing something despite difficulty or delay in achieving success. Success does not happen or come easily, there will always be some challenges in starting and managing business

05 items @ 02 marks

5. (a) **Production** Is the process of converting raw materials into finished goods in order to satisfy human needs and wants. E.g. Converting cotton to cloth **02 marks**

(b) Relationship between the following factors of production

i. **Land and labour:** Land contains natural resources for production purpose and labour force is used to extract or obtain these materials from the land through mining, fishing, lumbering etc.

ii. **Land and capital:** Capital in form of physical assets like machinery used to extract raw materials from the land for production to take place

iii. **Capital and labour:** Capital in form of financial assets used to pay labourers in the production of goods and services

iv. **Capital and entrepreneurship:** Capital enable entrepreneurial activities to start up and expand in the near future

Any 04 points @ 02 marks

6. **Importance of studying business studies**

i. Entrepreneurship and innovation
ii. Understanding customers' needs and preferences
iii. Critical thinking and problem solving
iv. Financial literacy
v. Careers opportunities
vi. Contribution to the society

Any 05 points @ 02 marks

7. COMPONENTS OF BUSINESS STUDIES

i. Entrepreneurship
ii. Economics
iii. Marketing
iv. Finance and accounting
v. Business management
vi. Information technology and electronic business
vii. Business laws and regulations

05 points @ 02 marks

8. Difference between sole-proprietorship and company

   i. Single owner
   ii. No profit and loss sharing
   iii. Unlimited liability
   iv. Minimal government regulations
   v. Highly flexibility in operation
   vi. Small start-up capital

Any 05 points @ 02 marks

9. Difference between human needs and human wants
   i. Needs are basic things that a person cannot survive without them **BUT** Wants are
   ii. additional things that a human desire to have but can survive without them
   iii. Needs include food, shelter and clothes **BUT** Wants include Televison, radio etc
   iv. Needs are similar to all human being **BUT** Wants differs from one person to another
   v. Needs are firstly satisfied by a person **BUT** Wants are satisfied after the needs
   vi. Needs are highly demanded **BUT** Wants are less demanded compared to needs
   vii. Needs are less expensive **BUT** Wants are expensive in nature

05 points @ 02 marks

SECTION C (15 MARKS)

10. **Challenges associated with sole proprietorship**
    i. Unlimited liability
    ii. Uncertainty in continuity
    iii. Limited capital
    iv. Working for long hours

Solution to the challenges

   i. To insure the business
   ii. Succession planning
   iii. Seeking for further capital
   iv. Delegation of duties

Introduction 02 marks
Main body 06 points @ 02 marks
Conclusion 01 mark